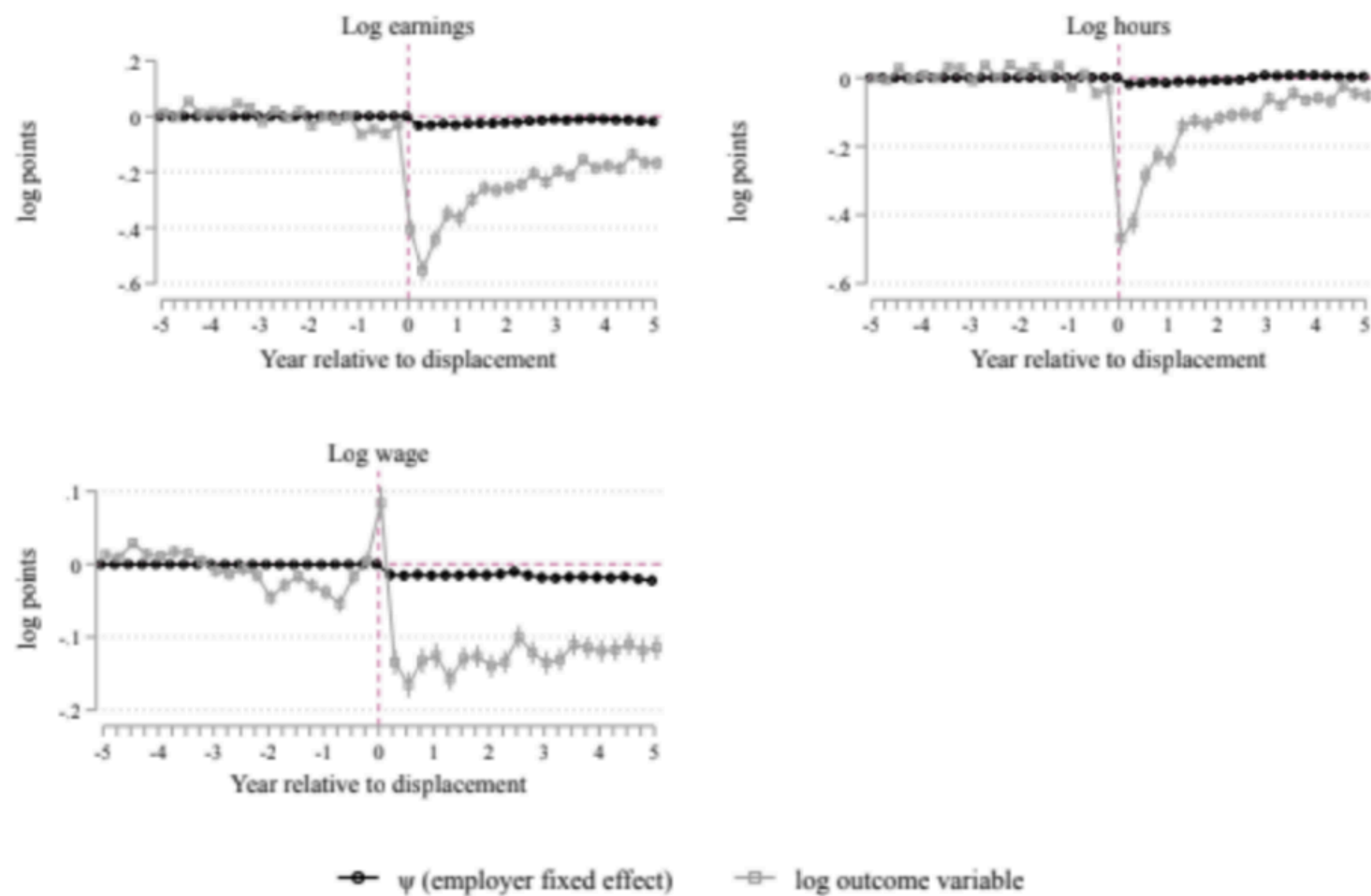


Figure 6
 Estimated displacement losses due to lost employer fixed effects, Washington, 2008–2010



Notes: The figures show estimated displacement losses attributable to foregone employer fixed effects ($\hat{\psi}$, shown as dark circles) compared with the full losses due to displacement (light squares, repeated from Figures 2, 3, and 5). Losses attributable to foregone employer fixed effects are estimates of δ_k from equation (3). For example, to obtain the estimates of earnings lost due to foregone employer premiums, equation (3) was estimated with the AKM employer fixed effect ($\hat{\psi}$) for log earnings as the dependent variable. Whiskers denote 95-percent confidence intervals based on standard errors clustered by worker. The vertical lines denote the quarter of displacement.

Source: Authors’ calculations using Washington administrative wage and claims records. See sections 3.2 and 5.1 of the text for details.